SHANKAR SHARMA'S INVESTMENT PLAYBOOK

A Comprehensive Masterclass on Multibagger Screening, Global Asset Allocation, and Risk Management

Executive Summary & Key Takeaway: Legendary market veteran Shankar Sharma advocates for an uncompromisingly flexible, data-driven investment philosophy. Success in stock markets stems not from rigid dogma or bottom-up stock picking, but from **Strategic Global Asset Allocation (85-92% of returns)**, treating deeply unloved stocks as **asymmetric out-of-the-money call options**, and maintaining strict **loss aversion** to preserve capital through market cycles.

1. Core Philosophy: 'Don't Be a Bull or Bear, Be a Hare'

Over three decades of active market participation, Shankar Sharma's primary learning is that rigidity in thinking or processes is the single biggest cause of portfolio ruin. In contrast to public fund managers bound by rigid mandates, successful investors must act like a **hare**—nimble, fleet-footed, and constantly prepared to shift direction when macro regimes evolve.

• **Fleet-Footed Flexibility:** Avoid public or unyielding process commitments. Adapt to eras, macro shifts, and changing dynamics.

• **25-Year Data Horizon:** Market mastery requires processing 20–25 years of real-time data before intuitive pattern recognition matures.

• **Data Over Narratives:** Base decisions strictly on quantitative screener models and hard numbers rather than corporate stories or management fluff.

2. The Multibagger Stock Selection Model ('4 AM Stocks')

To achieve venture capital-type returns in listed public markets, Sharma targets deeply neglected, broken companies rather than consensus high-P/E compounders. He terms this the **'4 AM Theory'**—investing when a company is closest to its darkest hour, offering asymmetric upside with strictly capped downside.

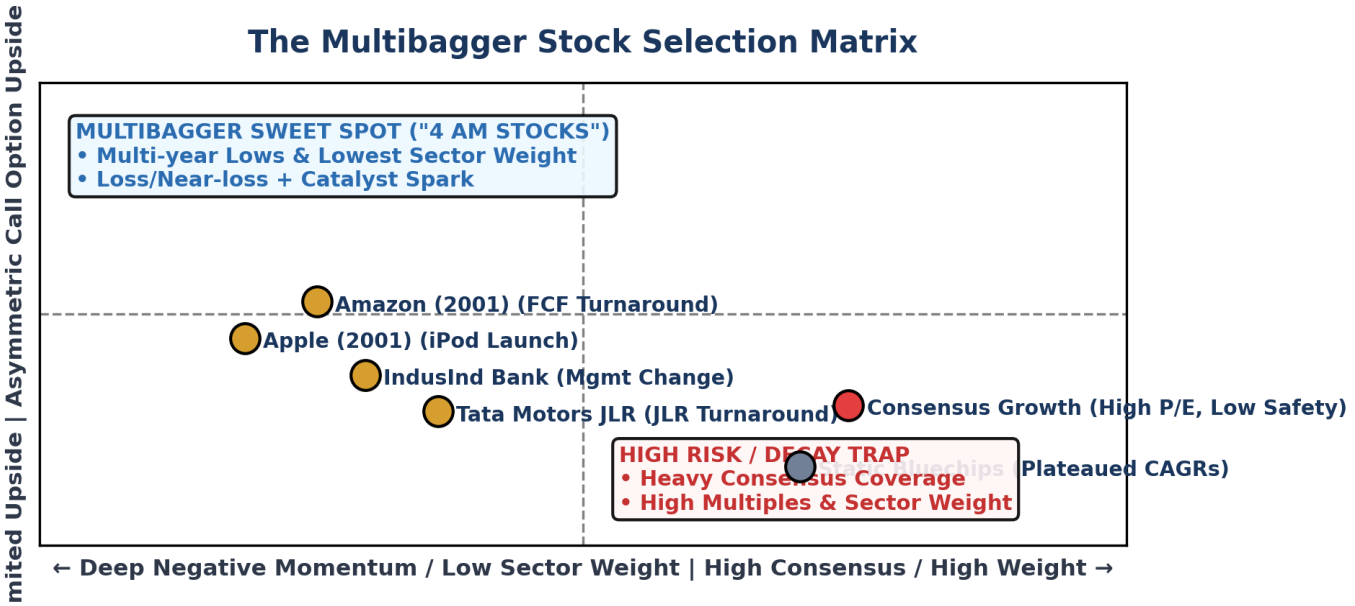


Figure 1: Shankar Sharma's Multibagger Matrix & Key Case Studies.

Pillar / Rule	Selection Criterion	Historical Case Study / Spark
1. Multi-Year Lows	Sustained negative price momentum over years (not months).	Amazon (2001) at $15; Apple (2001) at $19 ($3B net cap).
2. Financial Distress	Loss-making or near loss-making ('Buying trash at bargain prices').	Amazon turning $139M free cash positive amidst bankruptcy fears.
3. Lowest Sector Weight	Stock occupies its lowest-ever historical weight in its sector.	IndusInd Bank at Rs 46 (~1x Book Value) prior to management change.
4. Operational Spark	A single pivotal catalyst triggering structural turnaround.	iPod launch for Apple; JLR turnaround for Tata Motors; Mgmt change for IndusInd.

3. Strategic Global Asset Allocation vs. Stock Selection

Academic studies prove that **85% to 92% of portfolio returns** originate from strategic asset allocation across countries, asset classes, and currencies. Bottom-up stock selection accounts for only 8-15% of total returns. True asset allocation requires dynamic exposure across global equities, fixed income, gold, REITs, and commodities—recognizing that *'there is always a bull market somewhere in the world.'*

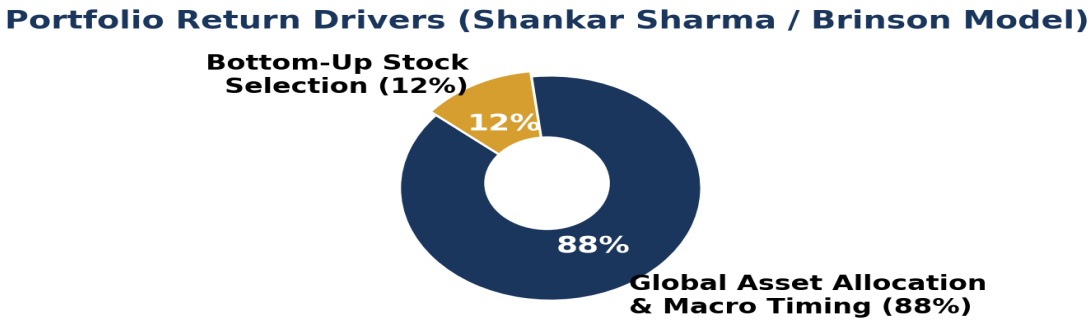


Figure 2: Asset Allocation vs. Stock Selection Contribution to Long-Term Alpha.

4. Portfolio Construction: The 'Marathon Run' Approach

For novice and young investors, Sharma cautions against over-concentrating in single stocks or relying on large-cap stability. He recommends a structured, multi-quarter **'Marathon Run'** framework to uncover long-term compounders.

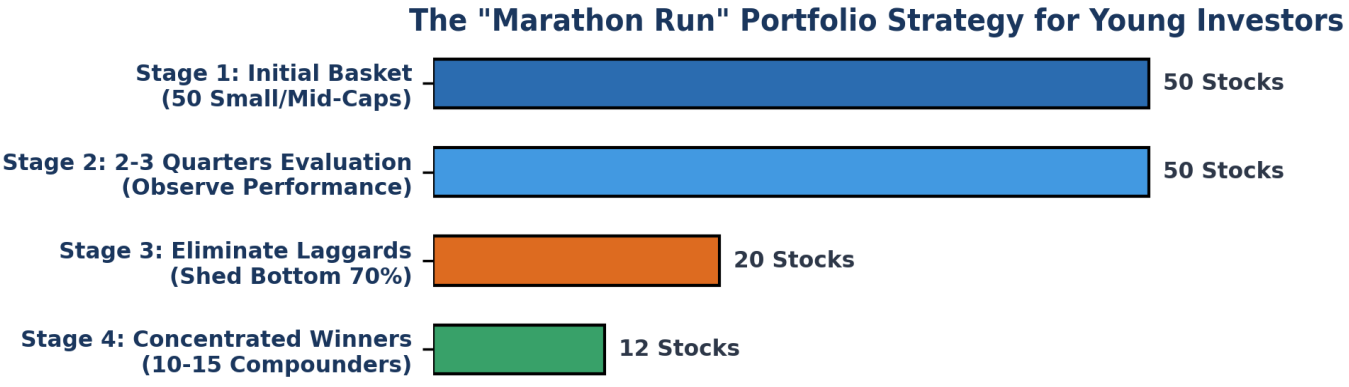


Figure 3: The 4-Stage 'Marathon Run' Portfolio Rotation Framework.

> **How the Marathon Run Works:** Start by constructing a broad basket of ~50 small- and mid-cap equities. Observe operational and price performance over 2–3 quarters. Identify the top 10–15 performing winners, completely eliminate trailing laggards, and systematically rotate capital back into the clear winners.

5. The Theory of Return Decay & Risk Management

Every market and equity asset has a finite capacity for returns—a concept Sharma calls the **'Lake of Returns'**. When supernormal CAGRs (>150–200% over 5 years in small-caps, ~75% in large-caps) fill the lake past its high-water mark, returns inevitably plateau or decay over the subsequent 5 years.

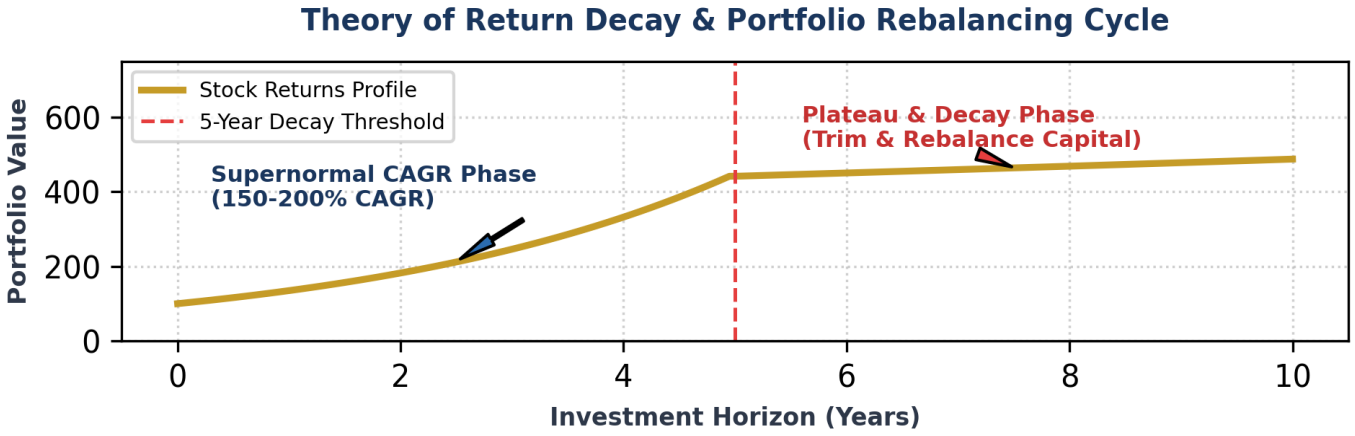


Figure 4: Conceptual Model of Return Decay and Capital Rebalancing.

Core Loss Aversion Rules:

• **Capital Preservation in Bear Markets:** Avoiding severe drawdowns is the ultimate driver of alpha. Sitting in cash/FDs during crashes allows investors to enter the next bull market starting at the 20th mile while competitors rebuild.

• **Never Average Down on Single Stocks:** Avoid buying into individual falling stocks suffering from negative momentum. Only buy into rising trends or broad, systemic market-wide dips.

• **Avoid Primary Market IPOs:** Primary market IPOs are structured by VCs/investment bankers to extract maximum valuation. Secondary market bargains offer vastly superior risk/reward.

6. Master Summary: Shankar Sharma's Investment DOs & DON'Ts

DO (Core Execution Mantras)	DON'T (Critical Pitfalls to Avoid)
✓ **Be a 'Hare':** Maintain fleet-footedness and flexibility to adapt quickly to changing macro regimes.	✗ **Don't Be Rigid:** Avoid rigid public investment philosophies, fixed formulas, or inflexible process silos.
✓ **Follow a 'Marathon Run' Basket:** Start with 20-50 stocks, observe 2-3 quarters, prune laggards, rebalance into winners.	✗ **Don't Fall in Love with Stocks:** Treat equities purely as financial instruments or options, not emotional attachments.
✓ **Target Unloved '4 AM' Stocks:** Look for multibaggers in multi-year lows, lowest sector weights, and turnaround sparks.	✗ **Don't Average Down on Falling Single Stocks:** Never buy more of a declining stock suffering negative momentum.
✓ **Practice Global Asset Allocation:** Diversify across non-correlated global markets, currencies, gold, and fixed income.	✗ **Don't Confuse Local Selection with Asset Allocation:** Shifting between domestic large/small-caps is NOT true asset allocation.
✓ **Prioritize Loss Aversion:** Preserve capital in bear markets. Sitting in cash/FDs during crises creates maximum alpha.	✗ **Don't Break Bank FDs to Gamble in Crises:** Protect secure fixed deposits and savings; never risk core financial safety nets.
✓ **Rely on Hard Data & Quant Models:** Use screening tools, AI/ML models, and probability over sell-side market noise.	✗ **Don't Rely on IPOs for Wealth Creation:** Avoid chasing listing-day IPOs, which are priced for seller exit, not buyer safety.
✓ **Trim Positions on 'Return Decay':** Take profits when 5-year CAGRs reach supernormal thresholds (150-200%).	✗ **Don't Chase Sell-Side Consensus:** Unanimous sell-side pessimism on well-covered stocks is often a contrarian buy signal.